

Bearish Vertical-Call Spread Worksheet,” “Method Trading,” “The Trader’s Scorecard,” and “Meet the Buyers and Sellers.”

For several hours I reviewed the menu of investments that took up both sides of a legal page and listed more than 100 different futures plus the options on those futures, further complicated by different delivery months, expiration dates, and the varying sums of money (margin) put up to secure each contract. Margin was the key element in the futures business, making it both very risky and potentially very profitable. By investing a relatively small sum—say five to ten percent of the value of any given commodity—the investor could control the entire amount represented in the contract. For instance, a \$500 margin was required to purchase one silver futures contract, enabling the buyer to control 1,000 ounces of silver. As of this writing, 1,000 ounces of silver was worth \$7,000. If the price doubled during the life of a contract, the investor would make a \$7,000 profit, or 14 times his original \$500. On the other hand, he’d also lose \$7,000 if the price dropped by half.

Still uncertain as to how to proceed, I made a trip to the visitor’s galleries at both major exchanges, hoping to pick up some important clue. Both galleries were suspended above the trading floors and offered a full view of the proceedings below. The tour guide described it as “one half acre of economic action, the heart-beat of an international economy, where risk meets opportunity.”

At the several video terminals, the visitor was invited to sit down and make mock investment decisions (“to sell your stock press 1, to hold your stock press 2”). I pressed a number of buttons in different combinations, and always ended up with the voice that said, “Just as you feared, the stock market is coming down. Bad News?” Not if you’d bought futures or options to protect your stock portfolio!

From the press-box vantage, I watched the action in the 24 different trading pits, and the hundreds of people in sneakers and solid-colored blazers milling around the perimeters. Toward the center of each pit was the heaviest density of arm-flailing fanatics. The financial pits were the densest, and in Treasury-bond futures at the Chicago Board of Trade it was hard to see how people could breathe in there, much less determine who was signaling what to whom. A bystander told me that he’d once seen the crowd sway